

5-2a Mercantilism

Widely practiced between the 1600s and the 1700s, the **theory of mercantilism** (A theory that suggests that the wealth of the world is fixed and that a nation that exports more and imports less will be richer.)

viewed international trade as a zero-sum game. Its theorists, led by French statesman Jean-Baptiste Colbert, believed that the wealth of the world (measured in gold and silver at that time) was fixed. A nation that exported more and imported less would enjoy the net inflows of gold and silver and, thus, become richer. On the other hand, a nation experiencing a trade deficit would see its gold and silver flowing out and, consequently, would become poorer. The upshot? Self-sufficiency would be best.

Although mercantilism is the oldest theory in international trade, it is not an extinct dinosaur. Very much alive, mercantilism is the direct intellectual ancestor of modern-day **protectionism** (The idea that governments should actively protect domestic industries from imports and vigorously promote exports.)

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